
UNIT 14 COMMERCIAL BANKING

Structure

- 14.0 Objectives
- 14.1 Introduction
- 14.2 Meaning and Role of Commercial Banks in Economic Development
 - 14.2.1 What is a Commercial Bank?
 - 14.2.2 Importance and Role of Commercial Banks in Economic Development
- 14.3 Functions of Commercial Banks
 - 14.3.1 Banking Functions
 - 14.3.2 Non-banking Functions
- 14.4 Structure of Commercial Banks
 - 14.4.1 Retail Banking versus Corporate Banking
 - 14.4.2 Universal Banking
 - 14.4.3 Differentiated Banking
- 14.5 Creation of Credit/Deposits
 - 14.5.1 Limits to Credit Creation
- 14.6 Principles Governing Distribution of Assets of Commercial Banks
 - 14.6.1 Liquidity versus Profitability of Assets
- 14.7 Recent Trends and Performance of the Banking Industry in India
- 14.8 Let Us Sum Up
- 14.9 Key Words
- 14.10 Some Useful Books
- 14.11 Answers/Hints to Check your Progress Exercises
- 14.12 Terminal Questions

14.0 OBJECTIVES

After going through this unit, you will be able to:

- define a Commercial Bank and describe its functions;
- illustrate the process of creation of credit by Commercial Banks;
- indicate limits to credit creation;
- highlight the role of the banking system in economic development; and
- Identify the trend and analyze the factors driving growth in the banking industry in India,

14.1 INTRODUCTION

As discussed in Unit 2, Financial intermediaries (FIs) refer to those institutions that serve the money and capital markets. They act as middlemen between lenders and borrowers, creating and issuing financial obligations of claims against themselves to acquire profitable financial claims against others. A chief function of an intermediary is to provide liquidity. FIs can be broadly classified into (1) commercial banks, and (2) non-banking financial institutions (NBFIs). Commercial Banks are the dominant financial intermediaries. Bank deposits form the dominant portion of the financial savings of the household sector, and bank credit is the most important source of external finance. Commercial Banks can be distinguished from other financial intermediaries in terms of the special power to issue liabilities that are accepted as a means of payment. Commercial banks play an important role in the economic development of any country. In this unit, you will learn about the Commercial banks, the functions of commercial banks, the method of credit creation by commercial banks, and the role of Commercial banks in the economic development of a country. This unit will also discuss some recent trends in banking sector in India.

14.2 MEANING AND ROLE OF COMMERCIAL BANKS IN ECONOMIC DEVELOPMENT

14.2.1 What is a Commercial Bank?

The term '*Bank*' has been defined differently by different economists. A Commercial bank is a profit-seeking institution which pays interest at a low rate to the depositors and charges a higher rate of interest from the borrowers and in this way, the bank earns a profit. Commercial Banks are *dealers in debt*, and this more aptly describes their activities. A deposit is a debt which the commercial bank owes to the depositor; a banknote is a sort of promissory note — an acknowledgement of the issuing bank's debt to whomsoever may be the bearer of it; using loans and overdrafts' a bank creates debts to itself. All Commercial banks deal in money and credit instruments. In the words of *Paul Samuelson*, "The primary economic function of commercial banks is to hold demand deposits and honour cheques drawn on them — in short, to provide us, the economy with the most important component of our money supply. It is to be noted that banking is a business like any other business. A Commercial bank is a relatively simpler business concern. It provides certain services for customers (depositors and borrowers) and in return receives payment from them in one form or another. It tries to earn a profit". *Acceptance of chequeable deposits from the public is only a necessary, but not a sufficient, function of a bank.* It must also lend to others.

It is difficult to define the term '*bank*' as the concept itself is rapidly changing given changes in social-economic conditions, government policies, priorities etc. For example: We see the new trends of digital banks, neo

banks, post payments banks, small finance banks etc. emerging in the country. We will discuss about them briefly in Section 14.7. Thus, one can say that a bank is a financial institution that deals in debts and credits. It accepts deposits, lends money and creates money. It bridges the gap between the savers and borrowers. As *R S Sayers* has emphasised, “banks are not merely purveyors of money but also in an important sense manufacturer of money”. From the above, it can be deduced that the bank is a financial institution.

14.2.2 Importance and Role of Commercial Banks in Economic Development

Commercial Banks have always played an important role in the country's economy. They play a decisive role in the development of the industry and trade. They act not only as the custodians of the wealth of the country but also as a resource of the country, which is necessary for the economic development of a nation. Their presence is helpful to the economic activity and industrial progress of a country. Commercial Banks satisfy the financial needs of the sectors of the economy as well as all sections of the society. That means they play a very significant role in economic and social needs. The relationship between financial development and economic growth is a complex phenomenon. Finance contributes to economic growth *in the sense that it increases the volume of investment and improves resource allocation*. Whatever may have been its origin, a bank deposit serves as money, and therefore, besides representing so much purchasing power, it acquires importance because of its dynamic function of influencing the level of economic activity. Consequently, the creation of deposits by banks is a matter of vital concern to modern governments, in their efforts to achieve their economic objectives.

A well-developed banking system is an essential pre-condition to the effective implementation of monetary policy. Thus, a fine, efficient and comprehensive banking system is a crucial factor in the developmental process. Commercial Banks not only relieve the public of anxiety and risk of safeguarding their surplus income but also provide facilities for savings and investment. They are useful in promoting banking habits among the people, discouraging unprofitable locking up of the community's wealth and reducing idle capital of the community. Commercial Banks in turn supply idle funds of the community to businessmen, industrialists and entrepreneurs who require funds for running and developing their businesses and industry. Commercial banks play an important role in the promotion of financial inclusion which is a pre-requisite of inclusive growth. *In short*, Commercial banks play an important and dynamic role in the economic life of every modern state. The economic importance of commercial banks may be viewed as follows:

- a) Promoting capital formation;
- b) Encouraging innovation;

- c) Influencing economic activity;
- d) Promoter of financial inclusion; and
- e) Facilitator of monetary policy.

The boundary which demarcates the operations of commercial banks and the Financial intermediaries (Fis) is eliminated, they are allowed to move towards universal banking and they are helped to cope with the recent changes.

In the field of *international business*, commercial banks offer services such as trade finance, project finance, payroll, foreign exchange transactions and trading, lock boxes for collecting payments and general corporate finance. Without commercial banks, the international finance and import-export industry would not have grown to the level it has today. The global nature of commercial banking also makes it possible to distribute valuable economic and business information among customers and the capital markets of all countries. Commercial banking also serves as a worldwide barometer of economic health and business trends.

14.3 FUNCTIONS OF COMERCIAL BANKS

Commercial banks being financial institutions perform diverse types of functions. These functions may be broadly divided into *banking functions* and *non-banking functions*.

14.3.1 Banking Functions

- A) *Exchanging money claims*: Exchange of money claims includes acceptance of deposits, giving loans and advances, discounting bills of exchange, and transferring money from one place to another.
 - 1) *Accepting Deposits*: Deposits differ from one another in respect of facilities for withdrawal and rate of interest. People make their choices from various kinds of deposits based on the requirements of their families and businesses. These deposits may be in the form of: (i) saving bank deposits, (ii) current deposits, (iii) recurring/cumulative deposits, and (iv) fixed deposits.
 - 2) *Loans and Advances*: The most important banking function, therefore, is the creation of credit. It is this function which distinguishes banks from other financial institutions. Commercial banks use the deposits of their customers as a source of lending assets. Advances may be made to clients through the loan system or overdraft system. The former is simpler. An amount is placed to the credit of the borrower who can withdraw the whole or a part of it as and when he likes. But for the period that the loan is not repaid, he pays interest on the whole sum, whether he makes use of it or not. An overdraft facility, on the other hand, means allowing a

client to draw cheques over the amount standing to his credit. Interest payable to the bank is only on the amount utilized.

- 3) *Discounting Bills of Exchange*: Discounting a bill of exchange is, technically speaking, purchasing a future claim of money. In essence, however, it means advancing a loan against a promise of repayment in future. An essential difference between advancing a loan and discounting a bill of exchange is that in the case of the latter, the bank is certain that money is used for genuine trade purposes.
- 4) *Transfer of Money*: Money may be transferred from one place to another by a bank draft or advice of a cheque. Now a days large sums of money are being transferred through NEFT (National Electronic Fund Transfer)/RTGS (Real Time Gross Settlement).

All the above banking functions can be summed up in a single function, viz. *that banks exchange money claims*. The most important banking function is the creation of credit. It is this function which distinguishes banks from other financial institutions. The basic economic function of bank intermediation can be summarized as follows:

- 1) *Liability-Asset transformation* i.e., accepting deposits as a liability and converting them into assets such as loans;
- 2) *Size transformation* i.e., providing large loans based on numerous small deposits;
- 3) *Maturity transformation* i.e., offering savers alternate forms of deposits according to their liquidity preferences while providing borrowers with loans of desired maturities; and
- 4) *Risk transformation* i.e., distributing risk through diversification would prevail while lending directly in the absence of financial transformation.
- 5) The functions performed by banks are changing with the changing scenario and recently they are widening their functions and becoming customer-centric.

14.3.2 Non-banking Functions

These are the services which banks render to their clients not as banks, but as profit-seeking firms. These functions, therefore, do not fall within the purview of banking proper. Thus, banks may undertake:

- i) Collection of cheques, drafts, bills, *hundis*, and other instruments (inland and foreign) for their depositors;
- ii) Issue of performance and financial guarantees;
- iii) Provision of remittance facilities by issue of drafts, mail transfers etc.

- iv) Provision of facilities of safe custody of deeds and securities and safe deposit vaults;
- v) Purchase and sale of securities for their constituents;
- vi) Provision of special investment services as underwriters and bankers for new issues of securities to the public. In selected cases, banks also arrange for the private placement of securities;
- vii) Acting as executors and trustees;
- viii) Rendering of agency services of various kinds such as sale of foreign exchange, acceptance of income-tax payment, etc.;
- ix) Miscellaneous services such as the issue of traveler's cheques, gift cheques, provision of tax assistance and investment advice, references, business and statistical information etc. They also provide a wide variety of loans and offer other credit vehicles like cards and overdrafts. However, the common theme among these activities is that they are aimed at providing a financial service to an individual or business.

In short, they may undertake to be 'watchmen' of valuables, executants of wills and administrators of family trusts. Banks are said to be department stores of financial services as they render a wide variety of such services to their customers. The range of these services differs from bank to bank, depending mainly on the size and type of banks. Most of us interact with commercial banks every day, whether it is a debit card purchase, an online payment or a loan application. Beyond providing these basic services, commercial banks are in the business of capital allocation for profit – also known as investing. Today, commercial banks can invest in securities and even in issues that they help make public. A commercial bank needs to provide good service to its customers and good returns to its investors to continue to be successful.

Check Your Progress 1

- 1) What is a Commercial Bank? How are banks characterised as dealers in debt?

.....

- 2) "Financial intermediaries (FIs) serve the money and capital markets". Explain.

.....

- 3) List any five important functions of a Commercial Bank.

.....

14.4 STRUCTURE OF COMMERCIAL BANKS

The structure of commercial banking varies from country to country. Banking structure is influenced by several factors such as traditions, economic conditions, political situation, public attitude, government factors and topographical conditions. Different banking systems came into existence with the development of banking in the world. *Important among them are branch banking, unit banking, group banking and chain banking.*

Commercial banks may be either of the **branch-banking** type, such as the commercial banks in India, under which case each bank has several branches spread all over the country, or the **unit-banking** type, which originated in the U.S.A., where each bank's operations are confined to a single office. **Group banking** consists of the ownership and operation of two or more banks directly or indirectly by a corporation. The group is organised around a key bank which in turn is controlled by a holding company. This banking system enjoys the advantages of both branch banking and unit banking. However, it suffers from certain handicaps like direct control over the constituents, difficulty of supervision and control and influence of failure of one member on the other. **Chain banking** is another form of group banking. It is similar to group banking. Chain banking refers to a system where two or more banks are controlled by a single person or group of persons through stock ownership or otherwise. Thus, there is a less formal arrangement than group banking. This system was developed in the USA to overcome the drawbacks of the unit's banking system. This banking system also enjoys the advantages of both a branch system and a unit banking system.

14.4.1 Retail Banking versus Corporate Banking

Retail banking refers to the division of a bank that deals directly with retail customers. Also known as consumer banking or personal banking, retail banking is the visible face of banking to the general public, with bank branches located in abundance in most major cities. Banks that focus purely on retail clientele are relatively few, and most retail banking is conducted by separate divisions of banks, large and small. Customer deposits garnered by retail banking represent an extremely important source of funding for most banks. **Corporate banking, also known as business banking**, refers to the aspect of banking that deals with corporate customers. The term was originally used in the United States to distinguish it from investment banking after the Glass-Steagall Act of 1933 separated the two activities. While that law was repealed in the 1990s, corporate banking and investment banking services have been offered for many years under the same umbrella

by most banks in the United States and elsewhere. Corporate banking is a key center of profit for most banks; however, as the biggest originator of customer loans, it is also the source of regular write-downs for loans that have soured.

14.4.2 Universal Banking

Universal banking is a system in which banks provide a wide variety of financial services, including commercial and investment services. Universal banks may offer credit, loans, deposits, asset management, investment advisory, payment processing, securities transactions, underwriting and financial analysis. While a universal banking system allows banks to offer a multitude of services, it does not require them to do so. Banks in a universal banking system may still choose to specialize in a subset of banking services. Universal banking combines the services of a commercial bank and an investment bank, providing all services from within one entity. The services can include deposit accounts, and a variety of investment services and may provide insurance services. Under this system, banks can choose to participate in any or all of the permitted activities. They are expected to comply with all guidelines that govern or direct proper management of assets and transactions. Since not all institutions participate in the same activities, the regulations in play may vary from one institution to another. It is important not to confuse the term '*universal bank*' with any financial institutions with similar names.

Proponents of universal banking argue that it helps banks diversify risk in a better manner. They facilitate the possibility of lowered costs because of the economies of scale. Costs would drop because of the larger volume of investment for a given level of overhead on investment. The underlying logic for this is that the cost of offering various activities by different units is greater than when they are offered together. The economies of scale and scope are expected to help the entity deal better with business cycles. A shift in the business cycle is expected to alter the demand for products. *Multi-product firms are, therefore, inherently better placed to handle changes in the type of product demanded.* The move towards universal banking is not without concern on the regulatory front. *The advent of universal banks simultaneously increases the risk to the system in case of a failure.* Another argument often advanced to oppose the move to consolidate is that the size of the universal banks provides them with an opportunity to have monopoly, by resorting to *predatory pricing competition from small players which offer specialised services.*

14.4.3 Differentiated Banking

Differentiated banks are distinct from universal banks as they function in a niche segment. The differentiation could be on account of capital requirement, scope of activities or area of operations. As such, they offer a limited range of services / products or function under a different regulatory

dispensation. The concept is not entirely new. In fact, and in a sense, the Urban Cooperative Banks (UCBs), the Primary Agricultural Credit Societies (PACS), the Regional Rural Banks (RRBs), Local Area Banks (LABs), Small Finance Banks (SFBs), and Payments Banks could be considered as differentiated banks as they operate in localized areas and provide banking services to underserved segments of the economy/society.

Reserve Bank of India set up of a committee headed by Shri Nachiket Mor, on Comprehensive Financial Services for Small Businesses and Low-Income Households to look into the issues relating to financial inclusion. The committee came up with two broad designs for the banking system in the country - the Horizontally Differentiated Banking System (HDBS) and the Vertically Differentiated Banking System (VDBS) based on the functional building blocks of payments, deposits and credit.

In a HDBS design, the basic design element remains a full-service bank that combines all three building blocks of payments, deposits, and credit but is differentiated primarily on the dimension of size or geography or sectoral focus. In a VDBS design, the full-service bank is replaced by banks that specialise in one or more of the building blocks of payments, deposits, and credit. Among others, the Committee suggested licensing of Payments Bank and wholesale banks as differentiated banks.

Check Your Progress 2

- 1) “Banks promote savings and help to convert hoardings into investment”. Amplify.
.....
.....
.....
- 2) Write a note on the structure of commercial banks.
.....
.....
.....
- 3) What is Commercial Universal banking? Why are they popular these days?
.....
.....
.....
- 4) What is differentiated banking?
.....
.....
.....

14.5 CREATION OF CREDIT/DEPOSITS

Credit creation is the most significant function of commercial banks. The essential feature of commercial banking is the lending of more cash than the amount held by the bank. Loans to customers form a bank's most profitable activity, but the urge to expand this side of its business to increase its profits is tempered by its obligation to pay cash on demand. However, most borrowers do not require actual cash, although a proportion of loans will be wanted in the form of cash, for example, for the payment of wages. Expanding loans will, therefore, to some extent increase the demand for cash. This is a fact that a banker must always bear in mind when it is considering whether to increase his lending.

Banks create money by creating deposits. There are two kinds of deposits: *actual deposits and created deposits*. When a man puts a certain sum of money into his account, we call it an actual/primary deposit. When a bank gives a loan to a person an account is opened in his name and he is credited with the amount of the loan. It is sometimes said that every loan creates a deposit. Hence, if banking habits are well developed the money lent out by a bank will find its way into some deposit account in the banking system. One can, therefore, say that *every loan creates a deposit*.

Whether a bank lends by overdraft or using a loan account, the result is the same, it *increases the total volume of purchasing power, that is, the quantity of money*. Banks can also create deposits by purchasing Government stock, which is simply a method by which banks lend to the Government. The bank pays for such purchases by cheques drawn on itself, and the payees of these cheques pay them into their banking accounts, and so again the banks create deposits. *Thus, bank deposits are mainly created by the banks themselves*. This power of the banks to expand credit is of enormous economic significance, for bank deposits are a form of purchasing power which can be used for the purchase of goods and services irrespective of how they have been created. *The total quantity of money therefore depends largely on the credit policy of the banks*. The banking system as a whole is responsible for the creation of a very large proportion of the deposits of the various banks.

According to some writers, commercial banks cannot create money, they only lend the un-withdrawn part of their customer's deposits. This view is right in so far as a single bank is concerned. However, the banking system as a whole can create money. In this connection, it may be pinpointed that while no individual bank can create deposits more than its excess reserves (here 9/10 of the new deposits), the banking system as a whole however can create ten times the initial deposit. *Money Multiplier or Deposit multiplier* measures the amount of money that the Banks can create in the form of deposits with every unit of money they keep as reserves. It is calculated in the following equation:

$$\Delta d = \frac{\Delta a}{r}$$